

STAREHE GIRLS' 2025 PREDICTION



POSSIBLE KCSE EXAM



565/2

BUSINESS STUDIES

PAPER 2

TIME: 2½ HOURS

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

(Kenya Certificate of Secondary Education)

Instructions to candidates

- a) Write your name and index number in the spaces provided above.*
- b) Sign and write the date of the examination in the spaces provided above.*
- c) This paper consists of 6 questions.*
- d) Answer any **five** questions in the spaces provided.*
- e) All questions carry equal marks*
- f) Non –programmable silent electronic calculator may be used.*
- g) Candidates must answer the questions in English.*

1. (a) Explain five sources of business ideas.

(10 marks)

(b) Outline five circumstances under which a high population growth may be desirable to a country.

(10 marks)

2. (a) Highlight five benefits that are likely to accrue to a firm due to its own expansion.

(10 marks)

(b) Explain five documents required for the formation of a limited liability company. **(10 marks)**

3. (a) Explain five insurance policies that an investor will find useful for the operation of a supermarket.

(10 marks)

(b) Explain five ways in which division of labour enhances performance of a business. **(10 marks)**

4. (a) Explain five characteristics of land as a factor of production. **(10 marks)**

(b) Highlight five factors to consider when choosing a distribution channel. **(10 marks)**

5. (a) Explain five factors that determine amount of money held for precautionary motive.

(10 marks)

(b) The following information relates to Chenka Enterprises for the period ended 30th April 2018.

Gross profit	800,000
Buildings	1,600,000
Debtors	200,000
5 year loan	1,000,000
Creditors	400,000
Stock	650,000

Bank	250,000
Cash	100,000
Discount received	10,000
Carriage outwards	150,000
Electricity	50,000
Interest on loan	40,000
Rent income	20,000
Commission received	10,000

Required:

i) Prepare a profit and loss account for the period ended 30th April 2018. **(5 marks)**

ii) Calculate return on capital employed.

(3

marks)

iii) Determine capital owned.

(2 marks)

6. (a) Highlight five problems associated with road transport in Kenya.

(10 marks)

(b) On 1st September 2020, Sefa traders had Shs. 55,000 in hand and Shs. 250,000 at bank. During the month the following transactions took place:

September 2 Cash sales directly banked sh 35,260.

3 Bought stationery in cash sh 4,500.

7 Paid Lucy, a creditor sh 94,000 by cheque in full settlement of his account after deducting 6% cash discount.

- 15 Paid electricity Sh 34,000 in cash.
- 20 Withdrew sh 50,000 from bank for office use.
- 25 Lupita, a debtor paid her account of sh 75,000 by cheque less
 10% cash discount.
- 28 Deposited all the cash into bank leaving no balance.

Required: Prepare a three column cash book and balance it off. **(10 marks)**